

MODEL QUESTION PAPER

TED (15) 3141
(REVISION – 2015)

Reg. No.

Signature

THIRD SEMESTER DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE

ACCOUNTANCY – III

Time : 3 Hours

(Maximum Marks : 100)

PART – A

(Maximum Marks : 10)

Marks

I Answer the following questions in one or two sentences. Each question carries 2 marks.

1. What do you mean by receipts and payments account?
2. What is legacy?
3. What do you mean by single entry system?
4. Mention various methods of depreciation.
5. What is proforma invoice?

(5 x 2 = 10)

PART – B

(Maximum Marks : 30)

II Answer **any five** questions from the following. Each question carries 6 marks.

- 1) Distinguish between receipts and payments account and income and expenditure account. (6)
- 2) Given below is the receipts and payments account of Eastern Club for the year ending 31st December, 2015 :

Receipts		Amount	Payments		Amount
To Balance b/d		850	By Salaries		925
“ Subscription :	2014	250	“ General expenses		150
	2015	2,100	“ Entertainment expenses		825
	2016	150	“ Newspapers		220
“ Donations		750	“ Corporation Tax		400
“ Subscriptions for Governor’s party		825	“ Annual day expense		350
“ Locker rent		225	“ Investment		2,000
“ Entertainment receipts		1,350	“ Books		800
“ Sale of waste papers		25	“ Electricity charges		170
			“ Balance c/d		685
Total		6,525	Total		6,525

Prepare the Club's income and expenditure account for the year ended 31st December, 2015 after adjusting the following;

- i. There are 500 members each paying an annual subscription of Rs.5. During 2014, 20 members paid their subscription for 2015 also.
- ii. A quarter of the corporation tax paid relates to 2016.
- iii. Salaries outstanding on 31st December 2014 and 31st December, 2015 were Rs.250 and Rs.300 respectively.
- iv. 8% interest has accrued on investment for 6 months.
- v. Locker rent Rs.50 referred to 2014 and Rs.75 is still owing.
- vi. Subscriptions receivable for Governor's party Rs.75. (6)

3) Calculate sales:

Opening debtors	-	Rs.10,000	
Cash received from debtors	-	Rs.20,000	
(Including cash from bills receivable)			
Opening bills receivable	-	Rs.4,000	
Closing bills receivable	-	Rs.2,000	
Closing debtors	-	Rs.16,000	(6)

4) Explain conversion method in single entry book keeping. (6)

5) What are the advantages and disadvantages of diminishing balance method? (6)

6) A firm purchased on 1st April 2012 a machinery costing Rs.35, 000. It purchased another Machinery for Rs. 20,000 on 1-1-2013 and spent Rs.2, 000 for installation. On 1-7-2014, the firm again purchased a machinery for Rs.30,000 and spent Rs.2,500 for its installation. Depreciation is charged at 10% on diminishing balance. Assuming the books are closed on 31st December, prepare the machinery account for 3 years. (6)

7) On 1st January 2014 JM Engineering Co., Kolkatha consigned to their agent at Mumbai 250 table fans costing Rs.600 and paid packing Rs.1000. Insurance Rs.500 and carriage Rs.3000. Account sales was received showing that the agent had sold 225 fans for Rs.1, 82,000 and expenses there on Rs. 5,300. Agent's commission was fixed at 5%. They remitted Rs.1,50,000 on account. Prepare necessary account in the book of consignor. (6)

PART – C

(Maximum Marks : 60)

(Answer **one full question** from each unit. Each full question carries 15 marks)

MODULE – I

- III The following is the receipts and payments account of Cosmo Club for the year ended 31-12- 2015.

Receipts	Amount	Payments	Amount
To Balance at Bank	11,200	By Salaries	34,000
“ Entrance fees	5,000	“ Rent	20,000
“ Subscriptions due	35,000	“ Electricity	2,700
“ Sale of old furniture (Book value Rs.12,000	10,000	“ Postage	1,300
“ Loan taken from Suresh on 1-7-2015 @12% interest	50,000	“ Printing & Stationery	2,800
		“ Interest on loan	2,000
		“ Sundry expenses	2,500
		“ Insurance premium	1,500
		“ Part payment for new furniture	40,000
		“ Balance at bank	4,400
Total	1,11,200	Total	1,11,200

The following information is also available:

	1-1-2015	31-12-2015
Rent due	2,000	4,000
Subscriptions outstanding	5,000	3,000
Subscriptions received in advance	4,500	3,500
Insurance prepaid	600	1,000
Stock of stationery	1,200	800

The book value of furniture on 1-1-2015 was Rs.37,000. On 1-7-2015, the club purchased new furniture for Rs.50,000. Depreciate the existing furniture at 10% p.a. Prepare income and expenditure account for the year ended 31-12-2015 and a balance sheet as at that date. (15)

OR

- IV From the following particulars of Akash Sports Club, prepare income and expenditure account for the year ended 31-12-2014 and also a balance sheet as on that date:

Receipts	Amount	Payments	Amount
Cash in hand	1,500	Bank overdraft	3,100
Subscriptions:		Investment	3,000
2013	2,000	Furniture	1,450
2014	16,200	Salary	6,200
2015	250	Printing & stationery	890
Entertainment proceeds	2,000	Entertainment expenses	1,710
Entrance fees	670	Sundry expenses	1,420
Interest on securities	480	Balance:	
Sale of old chairs	120	Cash	550
		Bank	3,100
Total	21,420	Total	21,420

- i. The club had 1800 members paying an annual subscription of Rs.10. Subscription amounting to Rs.90 were still in arrears for the year 2013.
- ii. Stock of stationery on 31-12-2013 was Rs.125 and on 31-12-2014 was Rs.87.
- iii. Entrance fee are to be capitalised.
- iv. Salary Rs.550 outstanding at the beginning and expenses accrued on 31-12-2014 were Rs.132. The club had paid Rs.500 in 2013 for telephone charges, out of which Rs.125 is related to the year 2014.
- v. Buildings worth Rs.24,500 and Investment Rs.6,500 were in the beginning.
- vi. Depreciation on fixed assets to be charged at 5%. (15)

MODULE – II

- V Shri.Chandu has not kept his books on double entry principles but from the following particulars you are required to prepare the profit and loss statement for the year ended 31st December, 2014 and also a statement of affairs as at that date:

Particulars	1-1-2014	31-12-2014
Stock	16,700	18,500
Creditors	15,400	14,000
Debtors	11,200	10,500
Cash	250	1,200
Bank overdraft	20,200	19,400
Bills receivable	15,050	14,200
Furniture	1,500	1,500
Motor van	19,000	19,000

His drawings during the year amounted to Rs.2,600.

Depreciate furniture by 10% and write off Rs.300 from Motor van. Regarding debtors it was understood that Rs.500 is irrecoverable and reserve of 5% must be provided as reserve for bad

and doubtful debts and in respect of bills receivable an amount of Rs.700 may be put in reserve. (15)

OR

VI Mr. Original keeps only incomplete records. His position on 1st January 2013 was as follows:

Cash in hand Rs.1, 850, Sundry debtors Rs.8,500, Stock in trade Rs.12,500, Furniture Rs.4,000 and Sundry creditors Rs.10,000.

His cash transaction for the year ended 31st December 2013 was as following;

Cash sales	- Rs.45,000
Receipts from debtors	- Rs. 56,000
Commission received	- Rs. 1,500
Payment to creditors	- Rs. 41,000
Cash purchases	- Rs. 32,000
Wages paid	- Rs. 4,300
Salaries paid	- Rs. 4,600
Rent paid	- Rs. 2,400
Trade expenses paid	- Rs. 2,600

On 31st December 2013 Mr. Original had sundry debtors Rs.16,200; stock in trade Rs.22,000; sundry creditors Rs.11,500; wages outstanding Rs.400 and rent paid in advance Rs.200. Depreciation @ 10% is required on furniture.

Prepare trading and profit and loss account for the year ended on 31st December 2013 and a balance sheet on that date. (15)

MODULE – III

VII A firm purchases a 5 years lease for Rs.15,000. Depreciation is provided on the Annuity method, the interest being @ 5%. The annuity table shows that a sum of Rs. 3,465 should be written off as depreciation every year. Show the lease account for five years. (15)

OR

VIII (a) Describe the merits and defects of fixed installment system of depreciation. (5)

(b) A trader, whose accounting year is calendar year, purchased on 1-4-2000 machinery costing Rs.3,00,000. He purchased additional machinery on 1-10-2000 costing Rs.2, 00,000. On 1-4-2002, one third of the machinery purchased on 1-4-2000 became obsolete and was sold for Rs.30,000. Depreciation being written off on fixed installment system at 10% p.a. Prepare machinery account for the years 2000, 2001 and 2002. (10)

MODULE – IV

IX (a) State the differences between consignment and sale. (5)

- (b) Renolta Co. Ltd., Mumbai consigned 200 sewing machines costing Rs.150 each but were invoiced at Rs.200 and paid Rs.1,500 as expenses. The agent is entitled to a commission of 5% plus 1% delcredre commission. Consignee accepted a draft for Rs.15,000. The consignee incurred Rs.2,500 as expenses. Account sales shows that 100 machines had realised Rs.210 each and 50 machines at Rs.200 each. Prepare consignment account and consignee's personal account in the book of consignor. (10)

OR

- X ABC Co., Kochi consigned on 15th April 2015, 45 cases of Table wares (cost price Rs.41,235) to XYZ Co., Bengaluru for sale on commission @ 5% on gross sales proceeds. The consignor paid freight and carriage amounting Rs.539. The goods arrived at Bengaluru on 20th April 2015 and XYZ Co paid clearing charges Rs.235, sundry charges Rs.59, carriage Rs.102 and go down Charges Rs.90. The goods were sold by XYZ Co as under:

15 cases @ Rs.1,000 per case, 22 cases @ Rs.1,050 per case and the remainder for Rs.10,000

On 21st July 2015 XYZ Co sent a draft for Rs.10,000 to ABC Co on account. On 1st August 2015

XYZ Co forwarded account sales together with bill of exchange for the balance.

Give journal entries and prepare the accounts in the books of both the parties. (15)
